

NexaDrive Auto Loan Policy

Retail Lending Policy | Auto Loans | Product code NEXA-AL

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Effective to	Open
Supersedes	None (first issue)
Owner	Head of Retail Credit Policy, NexaBank

1. Purpose and scope

1.1 Purpose. NexaDrive is a fixed-rate loan for buying a new or used private car. It is not for commercial vehicles, two-wheelers or home purchase.

1.2 Applicability. The version in force on the sanction date governs the loan.

2. Eligibility

2.1 Age. Minimum age at application is 21 years and maximum is 60 years. Age at maturity must not exceed 65 years.

2.2 Minimum income. Salaried applicants need net monthly income of at least ₹30,000. Self-employed applicants need annual income of at least ₹3,60,000.

2.3 Bureau score. The minimum Bureau Score is 675. Below this score the applicant is not eligible under the standard criteria.

2.4 FOIR. Total monthly obligations including the proposed EMI must not exceed 50% of net monthly income.

3. Amount and tenure

3.1 Loan amount. Minimum ₹1,00,000, maximum ₹1,50,00,000.

3.2 Tenure. Minimum 12 months. Maximum 84 months for a new vehicle and 60 months for a used vehicle. For a used vehicle, the vehicle's age at the end of the loan must not exceed 12 years.

4. Interest rate

4.1 Fixed rate. The rate is fixed for the whole tenure and depends on the Bureau Score at sanction. For a used vehicle, 1.00% is added to the rate. The rate is not linked to the NRLR.

Bureau score band	Fixed rate, new vehicle (per annum)
800 to 900	8.90%
750 to 799	9.50%
700 to 749	10.75%
675 to 699	12.50%

5. Fees and charges

5.1 Processing fee. Processing fee is 1.00% of the sanctioned amount, minimum ₹3,500 and maximum ₹10,000, plus GST at 18%.

5.2 Late payment charge. An overdue EMI attracts 2.00% per month on the overdue EMI, minimum ₹500 per instalment, plus GST.

6. Security and loan to value

6.1 Security. Hypothecation of the financed vehicle in favour of NexaBank. Comprehensive insurance must be maintained for the loan tenure.

6.2 Loan to value. A new vehicle may be financed up to 90% of the on-road price. A used vehicle may be financed up to 70% of the valuation by a NexaBank empanelled valuer.

7. Foreclosure

7.1 Foreclosure charge. Foreclosure attracts 3.00% of the outstanding principal if done in months 1 to 12, 2.00% in months 13 to 24, and nil from month 25 onwards, plus GST. Months count from the first disbursal.

8. Documentation and KYC

8.1 KYC. Sanction and disbursal require a verified KYC status as defined in POL-OPS-001.

9. Document control

9.1 Version history. Version 1.0 effective 2025-01-01 is the first and only issue. No NexaDrive policy exists before this date.